

26th March, 2019

The Chief Executive Officer
Nairobi Securities Exchange
The Exchange
55 Westlands Road
NAIROBI

For the Attention of Mr. Geoffrey Odundo

Dear Sir,

**RE: AUDITED FINANCIAL STATEMENTS OF EQUITY GROUP HOLDINGS
PLC AND SUBSIDIARIES FOR THE PERIOD ENDED 31ST DECEMBER 2018**

Please find attached the audited financial statements and other disclosures for the period ended 31st December, 2018 for your information and records. The same have received approval of the Central Bank of Kenya and the Board of Directors.

Subject to approval of shareholders at the Annual General Meeting scheduled for Tuesday 30th April, 2019 at the Kenyatta International Convention Centre (KICC), Nairobi at 10am, the Directors have recommended a first and final dividend of Kshs. 2.00/= per each ordinary share of Kshs. 0.50/= for the year ended 31st December, 2018. The proposed dividend will be payable on or about 31st May, 2019, net of withholding tax to shareholders on the register at the close of business on Friday, 26th April, 2019.

The following documents are enclosed for your information:

- a) A copy of audited financial statement for the year ended 31st December, 2018;
- b) Consolidated statement of changes in equity for the year ended 31st December, 2018;
- c) Company statement of changes in equity for the year ended 31st December, 2018;
- d) Consolidated statement of cash flows for the year ended 31st December, 2018;
- e) Company statement of cash flows for the year ended 31st December, 2018.

We take this opportunity to express our appreciation for your support and cooperation.

Yours faithfully,
EQUITY GROUP HOLDINGS PLC



Dr. James Mwangi, (CBS)
MANAGING DIRECTOR & CEO

Encls.

EQUITY GROUP HOLDINGS PLC

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE YEAR ENDED 31ST DECEMBER 2018



STATEMENT OF FINANCIAL POSITION	EQUITY BANK (KENYA) LIMITED		EQUITY GROUP HOLDINGS PLC			
	31st Dec 2017 Shs. '000' (Audited)	31st Dec 2018 Shs. '000' (Audited)	31st Dec 2017 Shs. '000' (Audited)	31st Dec 2018 Shs. '000' (Audited)	31st Dec 2017 Shs. '000' (Audited)	31st Dec 2018 Shs. '000' (Audited)
A. ASSETS						
1. Cash (both local & foreign)	8,817,113	8,580,005	8,318,168	7,674,725	11,039,112	19,844,917
2. Balances due from Central Bank of Kenya	15,435,640	23,148,790	-	-	15,435,640	23,148,790
3. Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4. Financial assets at fair value through profit and loss	-	-	-	-	-	-
5. Investment securities:	115,449,191	150,769,440	-	-	128,001,775	160,952,084
a) Held to maturity:	20,350,035	16,451,894	-	-	20,499,426	18,516,723
b) Available for sale:	18,347,044	5,680,143	-	-	18,347,044	15,680,143
a. Kenya Government securities	95,999,157	134,317,554	-	-	95,999,157	124,435,361
b. Other securities	68,132,192	114,756,102	-	-	68,132,192	114,756,102
6. Deposits and balances due from local banking institutions	9,598,240	9,598,240	-	-	9,598,240	9,598,240
7. Deposits and balances due from banking institutions abroad	14,558,710	4,372,844	-	-	14,558,710	4,372,844
8. Tax recoverable	2,085,436	2,085,436	-	-	2,085,436	2,085,436
9. Loans and advances to customers (net)	216,484,733	223,545,307	-	-	216,484,733	223,545,307
10. Balances due from group companies	4,121,975	454,990	312,765	94,702	4,121,975	454,990
11. Investments in associates	-	-	45,740,617	66,786,117	-	-
12. Investments in subsidiary companies	-	-	-	-	-	-
13. Investments in joint ventures	-	-	-	-	-	-
14. Investment properties	6,004,819	5,220,724	-	-	6,004,819	5,220,724
15. Property and equipment	3,698	12,144	-	-	3,698	12,144
16. Prepaid lease rentals	4,364,242	4,925,505	-	-	4,364,242	4,925,505
17. Intangible assets	2,413,059	4,925,505	-	-	2,413,059	4,925,505
18. Deferred tax asset	-	-	-	-	-	-
19. Retirement benefit asset	6,967,137	8,172,013	-	-	6,967,137	8,172,013
20. Other assets	-	-	-	-	-	-
21. TOTAL ASSETS	406,407,487	438,508,784	74,391,550	74,085,432	406,407,487	438,508,784
B. LIABILITIES						
22. Balances due to Central Bank of Kenya	-	-	-	-	-	-
23. Customer deposits	298,702,851	341,622,454	-	-	298,702,851	341,622,454
24. Deposits and balances due to local banking institutions	-	-	-	-	-	-
25. Deposits and balances due to foreign banking institutions	-	-	-	-	-	-
26. Other money market deposits	-	-	-	-	-	-
27. Borrowed funds	39,494,907	30,108,513	2,647,097	422,538	39,494,907	30,108,513
28. Balances due to group companies	199,374	194,526	3,304	-	199,374	194,526
29. Tax payable	-	-	-	-	-	-
30. Dividends payable	-	-	-	-	-	-
31. Deferred tax liability	-	-	-	-	-	-
32. Retirement benefit liability	6,099,944	5,836,742	258,848	2,824	6,099,944	5,836,742
33. Other liabilities	-	-	-	-	-	-
34. TOTAL LIABILITIES	344,475,026	377,922,215	2,927,249	425,362	344,475,026	377,922,215
C. SHAREHOLDERS' FUNDS						
35. Paid up / assigned capital	30,000,000	30,000,000	1,886,837	1,886,837	30,000,000	30,000,000
36. Share premium / discount	9,844,132	9,844,132	16,042,407	16,042,407	9,844,132	9,844,132
37. Revaluation reserve	441,394	(703,144)	-	-	441,394	(703,144)
38. Retained earnings / accumulated losses	19,233,437	20,825,581	45,965,507	48,913,476	19,233,437	20,825,581
39. Statutory loan loss reserve	2,267,428	-	-	-	2,267,428	-
40. Other reserves	-	-	7,547,350	7,547,350	-	-
41. Proposed dividends	-	-	-	-	-	-
42. Non controlling interests	-	-	-	-	-	-
43. TOTAL SHAREHOLDERS' FUNDS	61,905,391	60,585,559	71,442,301	74,660,279	61,905,391	60,585,559
44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	406,407,487	438,508,784	74,391,550	74,085,432	406,407,487	438,508,784
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME						
1. INTEREST INCOME						
1.1 Loans and advances	24,976,130	25,498,538	-	-	24,976,130	25,498,538
1.2 Government securities	12,214,987	15,888,784	-	-	12,214,987	15,888,784
1.3 Deposits and placements with banking institutions	505,429	170,028	229,458	212,145	505,429	170,028
1.4 Other interest income	89,115	13,982	-	-	89,115	13,982
1.5 Total interest income	37,796,661	41,591,332	229,458	212,145	37,796,661	41,591,332
2. INTEREST EXPENSES						
2.1 Customer deposits	6,488,314	6,806,737	-	-	6,488,314	6,806,737
2.2 Deposits and placements from banking institutions	98,808	15,306	-	-	98,808	15,306
2.3 Other interest expense	1,966,789	2,053,313	-	-	1,966,789	2,053,313
2.4 Total interest expenses	8,553,911	8,875,356	-	-	8,553,911	8,875,356
3. NET INTEREST INCOME	29,242,750	32,715,976	229,458	212,145	29,242,750	32,715,976
4. NON-INTEREST INCOME						
4.1 Fees and commissions income on loans & advances	5,251,307	4,312,529	-	-	5,251,307	4,312,529
4.2 Other fees and commissions income	9,432,344	8,979,321	-	-	9,432,344	8,979,321
4.3 Foreign exchange (trad) net income	2,174,774	2,116,741	8,300,000	10,450,000	2,174,774	2,116,741
4.4 Dividend income	1,588,874	1,956,974	88,771	43,374	1,588,874	1,956,974
4.5 Other income	18,445,251	17,345,585	8,328,771	10,493,574	18,445,251	17,345,585
4.6 Total non-interest income	27,492,250	27,711,150	8,328,771	10,493,574	27,492,250	27,711,150
5. TOTAL OPERATING INCOME	56,734,900	60,427,126	312,229	312,719	56,734,900	60,427,126
6. OPERATING EXPENSES						
6.1 Loan loss provision	2,333,386	1,668,120	-	-	2,333,386	1,668,120
6.2 Staff costs	7,814,102	7,665,307	29,851	25,455	7,814,102	7,665,307
6.3 Directors' emoluments	13,953	15,648	27,799	25,455	13,953	15,648
6.4 Rental charges	1,318,736	1,428,285	-	-	1,318,736	1,428,285
6.5 Depreciation on property and equipment	812,976	1,063,064	-	-	812,976	1,063,064
6.6 Amortisation charges	9,740,538	11,031,440	379,878	50,542	9,740,538	11,031,440
6.7 Other operating expenses	24,451,149	26,989,219	357,177	140,580	24,451,149	26,989,219
6.8 Total operating expenses	47,508,540	49,886,793	774,705	266,032	47,508,540	49,886,793
7. Profit / (loss) before tax and exceptional items	9,236,360	10,540,333	337,524	46,687	9,236,360	10,540,333
7.1 Exceptional (loss)/share of profit of associate	-	-	-	-	-	-
8. Profit / (loss) after exceptional items	9,236,360	10,540,333	337,524	46,687	9,236,360	10,540,333
9. Current tax	16,338,068	16,802,890	8,123,582	10,544,919	16,338,068	16,802,890
10. Deferred tax	-	-	-	-	-	-
11. Profit / (loss) after tax and exceptional items	16,338,068	16,802,890	8,123,582	10,544,919	16,338,068	16,802,890
12. Minority interest	-	-	-	-	-	-
13. Profit / (loss) after tax and exceptional items and minority interest	16,338,068	16,802,890	8,123,582	10,544,919	16,338,068	16,802,890
14. Other Comprehensive Income						
14.1 Gains / (losses) from translating the financial statements of foreign operations	-	-	-	-	(1,502,098)	(1,034,398)
14.2 Fair value changes in available for sale financial assets	1,227,284	(644,538)	-	-	1,227,284	(644,538)
14.3 Revaluation surplus on property and equipment	-	-	-	-	-	-
14.4 Share of other comprehensive income of associates	-	-	-	-	-	-
14.5 Income tax relating to components of other comprehensive income	-	-	-	-	-	-
15. Total comprehensive income for the year net of tax	17,565,352	16,158,352	8,123,582	10,544,919	17,565,352	16,158,352
16. Total comprehensive income for the year	17,565,352	16,158,352	8,123,582	10,544,919	17,565,352	16,158,352
EARNINGS PER SHARE - BASIC & DILUTED						
DIVIDEND PER SHARE - DECLARED						
1. Dividend per share	544.40	560.10	2.15	2.79	544.40	560.10
2. Dividend per share	246.67	333.33	2.00	2.00	246.67	333.33
OTHER DISCLOSURES						
1) NON PERFORMING LOANS AND ADVANCES						
a) Gross non performing loans and advances	14,757,622	17,043,515	-	-	14,757,622	17,043,515
b) Less interest in suspense	2,218,181	2,200,669	-	-	2,218,181	2,200,669
c) Total non-performing loans and advances (a-b)	12,539,441	14,842,846	-	-	12,539,441	14,842,846
d) Less loan loss provision	4,974,773	5,049,747	-	-	4,974,773	5,049,747
e) Net non-performing loans (c-d)	7,564,668	9,793,124	-	-	7,564,668	9,793,124
f) Discounted value of securities	2,544,668	7,701,295	-	-	2,544,668	7,701,295
g) Net NPLs exposure (e-f)	5,019,999	2,091,829	-	-	5,019,999	2,091,829
2) INSIDER LOANS AND ADVANCES						
a) Directors, shareholders and associates	3,199,439	3,039,011	-	-	3,199,439	3,039,011
b) Employees	4,565,199	4,909,083	-	-	4,565,199	4,909,083
c) Total insider loans and advances and other facilities	7,764,638	7,948,094	-	-	7,764,638	7,948,094
3) OFF BALANCE SHEET ITEMS						
a) Letter of credit, guarantees and acceptances	37,189,926	45,820,755	-	-	37,189,926	45,820,755
b) Forwards, swaps and options	16,308,703	17,122,239	-	-	16,308,703	17,122,239
c) Other contingent liabilities	-	-	-	-	-	-
d) Total contingent liabilities	53,498,629	62,942,994	-	-	53,498,629	62,942,994
4) CAPITAL STRENGTH						
a) Core capital	59,197,548	55,864,207	-	-	59,197,548	55,864,207
b) Minimum statutory capital	1,000,000	1,000,000	-	-	1,000,000	1,000,000
c) Excess / (deficiency)	58,197,548	54,864,207	-	-	58,197,548	54,864,207
d) Supplementary capital	2,704,874	2,704,874	-	-	2,704,874	2,704,874
e) Total capital (a+d)	61,902,422	58,569,081	-	-	61,902,422	58,569,081
f) Total risk weighted assets	376,209,330	400,268,759	-	-	376,209,330	400,268,759
RATIOS						
g) Core capital / total deposit liabilities	19.8%	16.4%	-	-	19.8%	16.4%
h) Minimum statutory ratio	8.0%	8.0%	-	-	8.0%	8.0%
i) Excess / (deficiency) (g-h)	11.8%	8.4%	-	-	11.8%	8.4%
j) Core capital / total risk weighted assets	15.9%	14.0%	-	-	15.9%	14.0%
k) Minimum statutory ratio	10.5%	10.5%	-	-	10.5%	10.5%
l) Excess / (deficiency) (j-k)	5.3%	3.5%	-	-	5.3%	3.5%
m) Total capital / total risk weighted assets	16.5%	14.6%	-	-	16.5%	14.6%
n) Minimum statutory ratio	14.5%	14.5%	-	-	14.5%	14.5%
o) Excess / (deficiency) (m-n)	2.0%	0.1%	-	-	2.0%	0.1%
p) Adjusted core capital / total deposit liabilities*	-	17.9%	-	-	-	17.9%
q) Adjusted core capital / total risk weighted assets*	-	15.3%	-	-	-	15.3%
r) Adjusted total capital / total risk weighted assets*	-	17.9%	-	-	-	17.9%
5) LIQUIDITY						
a) Liquidity Ratio	54.8%	57.9%	-	-	54.8%	57.9%
b) Minimum statutory ratio	20.0%	20.0%	-	-	20.0%	20.0%
c) Excess/(deficiency) (a-b)	34.8%	37.9%	-	-	34.8%	37.9%



Equity Group Holdings Plc
Financial statements
For the year ended 31 December 2018

Consolidated statement of changes in equity										
	Attributable to owners of the parent									
	Share capital	Share premium	Retained earnings	Loan loss reserve	FVOCI reserve	Foreign currency translation reserve	Other reserves	Total	Non-controlling interests	Total equity
Year ended 31 December 2018	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
At start of year	1,887	16,063	79,082	2,617	518	(7,662)	(113)	92,392	750	93,142
Changes on initial application of IFRS 9, net of tax	-	-	(8,809)	-	-	-	-	(8,809)	-	(8,809)
Transfer on initial application of IFRS 9	-	-	2,617	(2,617)	-	-	-	-	-	-
Changes on initial application of IFRS 15, net of tax	-	-	16	-	-	-	-	16	-	16
Total comprehensive income:										
Profit for the year	-	-	19,691	-	-	-	-	19,691	133	19,824
Other comprehensive income	-	-	-	-	(634)	(1,035)	-	(1,669)	-	(1,669)
Loan loss reserve transfers	-	-	19,691	-	(634)	(1,035)	-	18,022	133	18,155
Final 2017 dividend declared and paid	-	-	(7,547)	-	-	-	-	(7,547)	-	(7,547)
At end of year	1,887	16,063	85,034	16	(116)	(8,697)	(113)	94,074	883	94,957

Equity Group Holdings Plc
Financial statements
For the year ended 31 December 2018

Consolidated statement of changes in equity (continued)

Year ended 31 December 2017	Attributable to owners of the parent										Non-controlling interests	Total equity
	Share capital	Share premium	Retained earnings	Loan loss reserve	Available for-sale reserve	Foreign currency translation reserve	Other reserves	Total				
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions		Shs' millions
At start of year	1,887	16,063	68,097	2,280	(779)	(6,160)	(113)	81,275	701	81,976		
Total comprehensive income:												
Profit for the year	-	-	18,869	-	-	-	-	18,869	49	18,918		
Other comprehensive income	-	-	-	-	1,297	(1,502)	-	(205)	-	(205)		
	-	-	18,869	-	1,297	(1,502)	-	18,664	49	18,713		
Loan reserve transfers	-	-	(337)	337	-	-	-	-	-	-		
Final 2016 dividend declared and paid	-	-	(7,547)	-	-	-	-	(7,547)	-	(7,547)		
At end of year	1,887	16,063	79,082	2,617	518	(7,662)	(113)	92,392	750	93,142		

Company statement of changes in equity

	Share capital Shs' millions	Share premium Shs' millions	Retained earnings Shs' millions	Total equity Shs' millions
Year ended 31 December 2018				
At start of year	1,887	16,063	53,513	71,463
Changes on initial application of IFRS 9, net of tax	-	-	(2)	(2)
Total comprehensive income:				
Profit for the year	-	-	10,547	10,547
Dividends:				
Final 2017 dividend declared and paid	-	-	(7,547)	(7,547)
At end of year	1,887	16,063	56,511	74,461
Year ended 31 December 2017				
At start of year	1,887	16,063	52,937	70,887
Total comprehensive income:				
Profit for the year	-	-	8,123	8,123
Dividends:				
Final 2016 dividend declared and paid	-	-	(7,547)	(7,547)
At end of year	1,887	16,063	53,513	71,463

Consolidated statement of cash flows	2018 Shs' millions	2017 Shs' millions
OPERATING ACTIVITIES		
Profit before income tax	28,463	26,882
Adjustments for:		
Depreciation on property and equipment	3,139	3,541
Amortisation of intangible assets	1,016	960
Amortisation of prepaid leases	286	321
(Loss) / gain on disposal of property and equipment	(29)	10
Credit loss expense on financial assets	3,714	2,716
Interest expense on term borrowings	2,691	2,419
Prepaid leases	(205)	(266)
Effect of foreign exchange differences	63	(447)
Operating profit before changes in operating assets and liabilities	39,138	36,136
Loans and advances	(32,087)	(15,740)
Other assets	(2,209)	4,728
Deposits from customers	49,615	35,939
Related party balances	425	(66)
Other liabilities	(1,376)	1,953
Movement in restricted cash balances	(3,007)	(2,126)
Cash generated from operations	50,499	60,824
Income taxes paid	(6,723)	(9,852)
Net cash generated from operating activities	43,776	50,972
INVESTING ACTIVITIES		
Purchase of property and equipment	(2,754)	(2,336)
Purchase of intangible assets	(1,593)	(1,672)
Proceeds from sale of property and equipment	7	65
Purchase of investment securities	(154,385)	(121,172)
Receipts from sale / maturity of investment securities	119,950	95,245
Net cash used in investing activities	(38,775)	(29,870)
FINANCING ACTIVITIES		
Dividend paid	(7,547)	(7,547)
Proceeds from long term borrowings	124	8,046
Repayment of long term borrowings	(2,896)	(6,133)
Interest paid on term borrowings	(2,691)	(2,419)
Net cash used in financing activities	(13,010)	(8,053)
Net (decrease) / increase in cash and cash equivalents	(8,009)	13,049
Cash and cash equivalent at start of year	68,582	55,533
Cash and cash equivalent at end of year	60,573	68,582

Company statement of cash flows

	2018	2017
	Shs' millions	Shs' millions
OPERATING ACTIVITIES		
Profit before income tax	10,565	8,200
Adjustments for:		
Dividend received	(10,450)	(8,600)
Credit loss expense on financial assets	35	-
IFRS 9 impairment on cash and cash equivalents	(1)	-
Operating profit / (loss) before changes in operating assets and liabilities	148	(400)
Other assets	(271)	1
Related party balances	(2,027)	500
Other liabilities	(256)	258
Cash (used in) / generated from operations	(2,406)	359
Income taxes paid	(115)	(66)
Net cash (used in) / generated from operating activities	(2,521)	293
INVESTING ACTIVITIES		
Dividend received	10,450	8,600
Net cash from investing activities	10,450	8,600
FINANCING ACTIVITIES		
Dividend paid	(7,547)	(7,547)
Additional capital injected into subsidiaries	(1,025)	(1,040)
Net cash used in financing activities	(8,572)	(8,587)
Net (decrease) / increase in cash and cash equivalents	(643)	306
At start of year	8,318	8,012
At end of year	7,675	8,318